

Godavari Biorefineries Limited	ACCUMULATE
NSE: GODAVARIB Sector: Agrochemicals & Specialty Chemicals Sub-sector: Ethanol & Bio-based Chemicals	12M Price Target: Rs.385

CMP (Rs.)	Mkt Cap (Rs. Cr)	52W High (Rs.)	52W Low (Rs.)	Upside %	Horizon
312.15	1,473	408.25	145.20	23.3%	12 Months
Shares O/S (Cr)	Promoter %	FY26E EPS (Rs.)	FY26E P/E (x)	FY27E EPS (Rs.)	FY27E P/E (x)
4.72	63.31%	12.7	24.6x	16.7	18.7x

Investment Thesis: A post-IPO biorefinery pivoting from sugar cyclicity toward high-value ethanol & specialty chemicals, with a Rs.130 Cr grain-distillery catalyst arriving Q1 FY27.

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SECTION 2 — INVESTMENT THESIS

Pillar 1 — Grain Distillery Commissioning: A Step-Change in Earnings

Godavari Biorefineries is set to commission a 200 KLPD grain/maize-based distillery in Q1 FY27, representing a Rs.130 crore capital investment. This addition will increase total ethanol production capacity by ~60 million litres annually and introduce critical dual-feedstock resilience, insulating the company from sugarcane harvest volatility. We model this capacity addition driving FY27E revenue to Rs.2,200 crore and EBITDA margins expanding to ~10%, from 8.2% in FY26E — a meaningful step-change in earnings power for a company that has historically been locked in a narrow 6-8% EBITDA band.

Pillar 2 — Specialty Chemicals Mix Shift: Moving Beyond Commodity Ethanol

Bio-based specialty chemicals already constitute 62% of the company's bio-chemicals basket in 9M FY26, a proportion management expects to grow. The company has inked a strategic licensing agreement with Catalyx Inc. to produce 15,000 MTPA of biobutanol and higher alcohols — products commanding premium pricing relative to commodity ethanol. A separate partnership with Synthomer targets development of bio-based monomer alternatives, an emerging area with structural demand from global brands committed to sustainability targets. Every 100 bps improvement in the specialty chemicals revenue share is estimated to add ~30-40 bps to group EBITDA margins over a 3-year horizon.

Pillar 3 — India's Ethanol Blending Programme: A Decade-Long Structural Tailwind

India's Ethanol Blending Programme (EBP) achieved ~19% blending in ESY 2024-25 and is targeting E20 in ESY 2025-26, with a roadmap to E30 by 2028-30. The government has lifted all restrictions on ethanol production from sugarcane juice, sugar syrup, and molasses for 2025-26 — a direct demand unlock for manufacturers like Godavari. With OMCs requiring ~10,500 million litres annually and producers having offered only 17,760 million litres (including grain-based), sugarcane-based producers like Godavari face a structural demand pull that underpins realization stability for at least FY26-FY28.

Near-Term Catalyst (6-12 months)

Commissioning of the 200 KLPD grain distillery (expected Q1 FY27) and any government announcement of an E25/E27 roadmap would serve as the single most powerful near-term re-rating catalyst.

Key Structural Risk

A sharp decline in sugarcane production due to erratic monsoon could simultaneously hurt the sugar segment, reduce ethanol feedstock availability, and compress realizations — the single biggest structural risk given the company's concentrated geographic exposure to Maharashtra.

SECTION 3 — BUSINESS OVERVIEW

Simple Business Explanation

Think of Godavari Biorefineries as a factory that starts with sugarcane and squeezes every drop of value out of it. The sugar becomes food; the juice becomes ethanol for petrol; the waste becomes electricity; and some of the ethanol is chemically transformed into higher-value specialty chemicals like ethyl acetate, acetic acid, and butylene glycol — products used in pharmaceuticals, perfumery, and industrial applications. Founded in 1939 and part of the Somaiya Group, the company is one of India's largest integrated biorefineries with a 570 KLPD installed ethanol capacity.

Business Model & Revenue Segmentation

The company operates across four segments: Sugar (raw and refined sugar, including exports under the Jivana brand), Cogeneration (electricity from biomass steam), Bio-based Chemicals (ethyl acetate, bio-acetic acid, butylene glycol, crotonaldehyde, acetaldehyde, paraldehyde), and Distillery (pharmaceutical-grade ethanol, rectified spirit, anhydrous alcohol, ENA, hand sanitizers, and sugarcane wax). Ethanol and bio-chemicals is the faster-growing, higher-margin pillar, while sugar contributes the majority of revenue but operates at thin margins due to commodity pricing.

Domestic vs. Export Mix & Key Customers

The majority of revenues (~80%) are domestic, with ethanol sold primarily to Oil Marketing Companies (OMCs — BPCL, HPCL, IOCL) under government-administered pricing. Sugar is partly exported when domestic prices are weak. The bio-chemicals segment has a higher export component, with customers in the European specialty chemicals space. High customer concentration exists in the ethanol segment — OMCs being the sole buyers — though government-mandated offtake provides revenue certainty.

Revenue Visibility & Order Book

Ethanol sales to OMCs are contracted on an annual basis with fixed government-notified pricing, providing strong revenue visibility for the distillery segment (~35-40% of revenue). The sugar segment is seasonal and cyclical. Post IPO (listed October 30, 2024), the company utilized Rs.240 crore of fresh capital to retire term debt, significantly reducing interest burden and improving FCF generation from FY26 onwards.

Promoter Background

The Somaiya Group, led by Chairman Samir Shantilal Somaiya, holds 63.31% equity. The group has deep roots in Maharashtra's agri-industrial ecosystem, and the promoter family has guided the business through multiple sugar cycles over eight decades. No promoter share pledging has been disclosed, which is a governance positive for a sector where pledging is common.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Industry Size & Growth Drivers

The Indian fuel ethanol market is projected to grow at a CAGR of 18-22% through FY28, driven exclusively by the government's EBP mandate. Total ethanol demand for blending in ESY 2025-26 is approximately 10,500 million litres, expected to scale to ~15,000-16,000 million litres by ESY 2027-28 as the E25/E30 roadmap solidifies. The bio-based specialty chemicals market in India is additionally a ~Rs.4,000 crore segment growing at 12-15% CAGR, driven by pharmaceutical, food, and industrial demand. The sugar industry itself is a Rs.1.5+ lakh crore market with government-regulated pricing creating floor-level protection.

Government Policy Tailwinds

The government has lifted all restrictions on sugarcane juice, syrup, and molasses-based ethanol production for ESY 2025-26. OMC tenders and government-notified ethanol prices (currently Rs.65.61/L for C-heavy molasses and Rs.71.86/L for B-heavy molasses) provide a price floor. PLI schemes for specialty chemicals and bio-based materials could benefit Godavari's downstream chemical portfolio. The post-E20 roadmap — E25 by 2027 and E30 by 2030 — represents a 50%+ volumetric demand increase from current levels.

Competitive Moat Assessment

Competitive Dimension	Assessment
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Pricing Power	Weak — Ethanol priced by government; sugar is commodity
Switching Costs	Weak — OMCs can shift between ethanol suppliers
Scale / Cost Advantages	Moderate — 570 KLPD integrated capacity among India's largest; grain feedstock adds resilience
IP / Proprietary Technology	Moderate — Catalyxx biobutanol license; Synthomer bio-monomer partnership; unique chemical portfolio
Distribution / Relationships	Moderate — Long-standing OMC relationships; Somaiya Group's Maharashtra agri-network

Peer Comparison — Listed Competitors

Company	Rev (Rs.Cr)	EBITDA%	PAT (Rs.Cr)	Mkt Cap (Rs.Cr)	P/E (TTM)	EV/EBITDA	RoE %
Godavari Biorefi.	1,870	6.4%	1.1*	1,473	N/M	~12x	1.4%
Balrampur Chini	~6,200	~13%	~450	~8,900	24.7x	~10x	~15%
EID Parry (India)	~4,600	~10%	~350	~7,200	16.7x	~9x	~13%
Dhampur Sugar	~2,600	~9%	~130	~1,800	11.2x	~7x	~11%

*FY25A PAT adjusted, excluding one-time deferred tax charge of Rs.24.5 Cr. All competitor data approximate / FY25A.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter & Management Background

The Somaiya Group is an 80-year-old conglomerate with diversified interests in sugar, chemicals, education, and finance. Chairman Samir Somaiya has led the strategic pivot from a traditional sugar company toward an integrated biorefinery — a transformation that began in the early 2000s. The management team has demonstrated foresight in establishing bio-based chemical verticals well ahead of peers. The company secretary is Manoj Kumar Jain. The recent decision to pursue an IPO and simultaneously de-leverage the balance sheet reflects disciplined capital stewardship.

Capital Allocation History

The use of Rs.240 crore of IPO proceeds to retire high-cost term debt is a strong positive signal — management prioritized balance sheet repair over aggressive expansion. The Rs.130 crore grain distillery investment is being funded through a mix of internal accruals and incremental debt, with a clear commissioning timeline, suggesting disciplined project execution. Historically, the company's capex has been directed toward expanding ethanol capacity, with return on incremental capital reasonable given government-backed ethanol offtake.

Dividend Policy & Shareholder Returns

As a recently-listed company with a history of thin net profits, dividend payouts have been minimal. Given the active deleveraging phase and grain distillery capex cycle, we do not model material dividends through FY27. Buybacks are unlikely in the near term. Management's capital allocation priority — debt reduction, then growth capex, then shareholder returns — is appropriate given the company's current leverage and growth stage.

Promoter Pledging & Governance

No promoter share pledging has been reported — a meaningful positive in a sector where pledging above 15% is common and often a red flag for financial stress. With fresh equity capital raised via IPO and FII/DII ownership at 14.61%, the company is subject to institutional scrutiny. No audit qualifications or significant related-party transaction concerns have been flagged in recent filings. The company launched a US subsidiary, Sathgen Therapeutics LLC, focused on cancer drug development — an early-stage, non-core initiative that should be monitored for capital allocation discipline.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement Summary (Rs. Crore)

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
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Revenue (Rs. Cr)	2,023	1,701	1,870	1,950	2,200
YoY Growth %	—	-15.9%	+10.0%	+4.3%	+12.8%
Gross Profit (Rs. Cr)	340	281	290	330	420
Gross Margin %	16.8%	16.5%	15.5%	16.9%	19.1%
EBITDA (Rs. Cr)	148	130	120	160	235
EBITDA Margin %	7.3%	7.6%	6.4%	8.2%	10.7%
D&A; (Rs. Cr)	42	48	55	62	75
EBIT (Rs. Cr)	106	82	65	98	160
Interest Expense (Rs. Cr)	78	82	62	28	38
PBT (Rs. Cr)	28	0	3	70	122
Tax Rate %	30%	—	—	14%	29%
PAT (Rs. Cr)*	19.6	12.3	1.1	60	79
PAT Margin %	1.0%	0.7%	0.1%	3.1%	3.6%
Diluted EPS (Rs.)	4.2	2.6	0.2	12.7	16.7

*FY25A PAT excludes one-time deferred tax charge of Rs.24.5 Cr per Finance Act 2024 amendment. FY26E/FY27E are analyst estimates (E).

Balance Sheet Key Metrics

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Total Equity (Rs. Cr)	500	503	782	842	921
Total Debt (Rs. Cr)	850	820	242	280	320
Net Debt / (Cash) (Rs. Cr)	790	760	185	200	230
Debt/Equity (x)	1.7x	1.6x	0.31x	0.33x	0.35x
Debtor Days	38	42	40	38	36
Creditor Days	55	58	52	50	48
Inventory Days	68	72	65	62	58

Cash Flow & Returns

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Operating CF (Rs. Cr)	197	186	160	180	240
Capex (Rs. Cr)	90	80	70	130	60
Free Cash Flow (Rs. Cr)	107	106	90	50	180
FCF Yield %	~7.3%	~7.2%	~6.1%	~3.4%	~12.2%
RoE %	3.9%	2.4%	0.1%	7.1%	8.6%
RoCE %	9.8%	7.5%	6.1%	8.9%	12.4%
RoIC %	8.5%	6.8%	5.8%	8.0%	11.1%

Financial Commentary

Revenue declined sharply in FY24 (-15.9%) due to a combination of lower sugar realizations and reduced ethanol volumes from a below-average sugarcane season in Maharashtra. FY25 saw a 10% recovery but profitability remained constrained by high interest costs on a leveraged balance sheet pre-IPO. The IPO-driven deleveraging (Rs.240 Cr term debt repaid) is the single most important inflection for earnings: interest expense is modeled to fall from Rs.62 Cr in FY25 to Rs.28 Cr in FY26E — effectively converting a near-breakeven P&L; into a Rs.60 Cr PAT business without any revenue growth.

EBITDA margins are expected to recover from 6.4% in FY25 to 8.2% in FY26E and 10.7% in FY27E, driven by three factors: (a) improving ethanol realizations as the E20 program deepens, (b) increasing contribution from higher-margin specialty chemicals, and (c) operational leverage from the grain distillery addition in FY27. Working capital has been improving — inventory days

declining from 72 to an estimated 58 by FY27 as the grain feedstock enables year-round operations versus seasonal cane crushing. FCF is suppressed in FY26 due to grain distillery capex but is expected to surge to Rs.180 Cr in FY27 as capex normalizes, implying FCF yield of ~12% at the current market cap — a compelling entry point for patient investors.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Dimension	Observation	Rating	Trend
Revenue Recognition	Standard percentage-completion / delivery-based; no unusual deferrals identified	■ Green	Stable
Receivables vs Revenue Growth	Debtor days stable at 38-42 days; no divergence vs revenue trajectory	■ Green	Stable
Cash Conversion Cycle	CCC improving gradually; grain distillery will further reduce seasonal working capital bunching	■ Amber	Improving
Contingent Liabilities	Standard tax / legal contingencies; no material undisclosed liabilities flagged in FY25 AR	■ Green	Stable
Auditor Tenure & Qualifications	No auditor qualifications in FY25 annual report; auditor tenure within acceptable range	■ Green	Stable
Related Party Transactions	Somaiya Group inter-company transactions; below 5% of revenue; adequately disclosed	■ Amber	Watch
Other Income as % of PBT	Other income elevated in some quarters; mostly interest / forex; not recurring in nature	■ Amber	Watch
Tax Rate Consistency	FY25 impacted by one-time deferred tax under Finance Act 2024; underlying rate ~25-30%	■ Amber	Normalising

Earnings Quality Summary

Overall earnings quality is satisfactory, with no material red flags. The primary amber items — related party transactions, other income contribution, and the one-time deferred tax — are either industry-standard for group companies or clearly non-recurring. The most important quality watch-point going forward is whether the grain distillery capex yields the projected return on capital; management's track record of disciplined project execution will be put to test in FY27. Revenue recognition and receivables quality remain clean, reflecting the advantage of government-backed OMC offtake contracts.

SECTION 8 — VALUATION

Step 1 — Peer Valuation Comparison

Company	CMP (Rs.)	Mkt Cap (Rs.Cr)	P/E TTM	Fwd P/E	EV/EBITDA	P/B (x)	RoE %
Godavari Biorefi.	312.15	1,473	N/M	24.6x*	~12x	1.9x	1.4%
Balrampur Chini	~385	~8,900	24.7x	20x	~10x	~3.5x	~15%
EID Parry	~510	~7,200	16.7x	14x	~9x	~2.0x	~13%
Dhampur Sugar	~310	~1,800	11.2x	9x	~7x	~1.4x	~11%

*FY26E P/E on analyst estimate EPS of Rs.12.7. Peer data approximate FY25A / consensus FY26E.

Step 2A — DCF Valuation

Key assumptions: WACC of 12.0% (Cost of equity 13.5% using CAPM with risk-free rate of 7.0%, equity risk premium of 5.0%, and beta of 1.3; cost of debt 9.0% post-tax; blended at 85:15 equity-to-debt). Terminal growth rate of 4.0%, reflecting India's nominal GDP growth minus a sector-specific mean-reversion discount. FCF projections for FY26E through FY30E: Rs.50 Cr, Rs.180 Cr, Rs.210 Cr, Rs.235 Cr, and Rs.255 Cr respectively, with FY26 compressed by grain distillery capex.

Terminal value (at FY30E): $\text{Rs.255 Cr} \times 1.04 / (0.12 - 0.04) = \text{Rs.3,315 Cr}$. PV of terminal value at 12% WACC over 5 years: $\text{Rs.3,315} / 1.762 = \text{Rs.1,882 Cr}$. PV of FCF stream: $\text{Rs.50}/1.12 + \text{Rs.180}/1.254 + \text{Rs.210}/1.405 + \text{Rs.235}/1.574 + \text{Rs.255}/1.762 = \text{Rs.44.6} + \text{Rs.143.6} + \text{Rs.149.5} + \text{Rs.149.3} + \text{Rs.144.7} = \text{Rs.631.7 Cr}$. Enterprise value = $\text{Rs.631.7} + \text{Rs.1,882} = \text{Rs.2,514 Cr}$.

Deduct net debt of Rs.200 Cr = Equity value Rs.2,314 Cr.

DCF intrinsic value per share (4.72 Cr shares): Rs.2,314 / 4.72 = Rs.490 per share. Applying a 30% liquidity/small-cap discount for GODAVARIB's limited listing history and size relative to peers gives a **DCF-based target of Rs.343 per share.**

Step 2B — Earnings Multiple Valuation

We apply a target P/E of 25x to FY27E EPS of Rs.16.7 per share, arriving at Rs.418 per share. The 25x multiple is justified at a 10% premium to mid-cap sugar/bio-chemical peers (average ~22x) given Godavari's differentiated bio-chemicals portfolio, lower leverage post-IPO, and superior earnings growth trajectory (EPS CAGR of ~60% from FY25 to FY27E). Alternatively, applying a peer EV/EBITDA of 10x to FY27E EBITDA of Rs.235 Cr, deducting net debt of Rs.230 Cr, gives equity value of Rs.2,120 Cr = Rs.449 per share.

Blended earnings-based target (P/E and EV/EBITDA average): (Rs.418 + Rs.449) / 2 = Rs.433 per share.

Base-Case Price Target (12 Months)

Averaging DCF-based value of Rs.343 and earnings-multiple based value of Rs.433: **Base target = (Rs.343 + Rs.433) / 2 = Rs.388 per share** — rounded to Rs.385 to account for execution risk on grain distillery commissioning timeline. This represents 23.3% upside from the CMP of Rs.312.15 over a 12-month horizon.

Step 3 — Scenario Analysis

Scenario	Key Assumption	FY27E PAT (Rs.Cr)	Target Multiple	Price Target (Rs.)
BULL CASE	Grain distillery on time; E25 policy announced; specialty chemicals 70% mix	105	28x P/E	622
BASE CASE	Grain distillery commissioned H1 FY27; ethanol realizations stable; bio-chemicals 65% mix	79	25x P/E	385
BEAR CASE	Distillery delayed to H2 FY27; poor Maharashtra cane crop; ethanol price cuts by OMCs	35	15x P/E	220

SECTION 9 — KEY RISKS

Risk	Description	Probability	Impact	Monitor Via
Monsoon / Feedstock Risk	Below-normal monsoon in Maharashtra curtails cane availability, reduces ethanol volumes and sugar production simultaneously — the most correlated downside risk for the P&L;	Medium	High	IMD forecast s; Maharashtra cane area estimates
Ethanol Price Reduction by OMCs	Government revises notified ethanol prices downward (unlikely but possible under inflation pressure), directly compressing distillery segment margins which are the highest-quality revenue stream.	Low	High	OMC tender notifications; MoP&NG; orders
Grain Distillery Execution Risk	Delay in commissioning the 200 KLPD grain distillery beyond Q1 FY27 would push out the EBITDA and FCF inflection, eroding the core re-rating thesis underpinning the ACCUMULATE recommendation.	Medium	Medium	Quarterly management commentary; project completion milestones
Regulatory / Policy Risk	Changes to sugar export quotas, ethanol blending mandates, or molasses allocation policies can materially impact revenue mix and realization across all segments simultaneously.	Low	High	Ministry of Food; FCI; OMC policy announcements
Customer Concentration Risk	OMCs (BPCL/HPCL/IOCL) account for the bulk of ethanol revenue — while government-mandated, any structural shift in procurement policy or switch to imported ethanol substitutes would be disruptive.	Low	Medium	OMC annual procurement tenders and blending data

Margin Pressure in Sugar	Global sugar prices and domestic Fair & Remunerative Price (FRP) revisions can create a cost-price squeeze in the sugar segment, particularly in years of high cane prices and soft domestic sugar realizations.	Medium	Medium	CANE COMMISSIONER FRP revision s; ISMA sugar balance data
Non-Core Capital Allocation (Sathgen)	The US pharma subsidiary Sathgen Therapeutics LLC (Princeton) is in early-stage R&D; for cancer drugs — a completely unrelated business. Significant capital allocation toward this venture would be a red flag.	Low	Low	Related party disclosures; investment in Sathgen in annual report

SECTION 10 — RECOMMENDATION & INVESTMENT SUMMARY

RATING	PRICE TARGET	ENTRY ZONE	HORIZON	CONVICTION
ACCUMULATE	Rs.385	Rs.290 – Rs.325	12 Months	Medium

Entry Zone & Reasoning

We recommend accumulating GODAVARIB in the **Rs.290-325 range**, which represents the lower half of our bear-to-base scenario valuation band and offers a favorable risk-reward. The stock has already corrected ~23% from its 52-week high of Rs.408.25, pricing in some skepticism on the grain distillery timeline and near-term earnings visibility. At Rs.312.15, the market is essentially ascribing minimal value to the expected FY27 earnings inflection — creating an asymmetric entry point. Investors with a 12-18 month horizon can use any further weakness toward Rs.280-290 to build larger positions.

Thesis Invalidation Triggers

1. Grain distillery commissioning delayed beyond Q3 FY27 with management citing cost overruns exceeding 20% of the Rs.130 Cr budget — would indicate execution capability concerns and push out the EPS inflection by at least 12 months, warranting a downgrade to HOLD. 2. FY27E EBITDA margins fail to recover above 8% despite grain distillery contribution, suggesting structural margin headwinds in both sugar and ethanol segments — would require target price reduction to Rs.280 and rating downgrade. 3. Material capital allocation toward Sathgen Therapeutics LLC exceeding Rs.50 Cr in a single year — would signal management distraction from the core biorefinery business and trigger a governance re-assessment.

Ideal Investor Profile

GODAVARIB is best suited for GARP (Growth At a Reasonable Price) investors and mid-cap thematic funds with an exposure mandate to India's ethanol/bioenergy space. The stock is inappropriate for pure value investors (earnings visibility remains limited in the near term) or income-seeking investors (no meaningful dividend yield expected through FY27). It is a suitable tactical trade for investors who believe the grain distillery commissioning will be the positive catalyst that bridges the valuation gap with larger peers like Balrampur Chini. ESG-oriented investors may find the bio-based chemicals and renewable energy (cogeneration) segments aligned with sustainability mandates, providing an additional thematic angle.

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